

PROCUREMENT AGREEMENT

Agreement Reference: CNTR-6120

Effective Date: March 6, 2023

Expiry Date: March 6, 2026

1. Parties

Supplier: Grupo Bimbo

Address: 700 Anderson Hill Road, Purchase, New York, 10577, United States

Contact Person: Robert Williams

Phone: +1 (555) 678-5678

Email: robert.williams@grupobimbo.com

Buyer: Costco

Address: 1 Woolworths Way, Bella Vista, New South Wales, 2153, Australia

Contact Person: Sophie Martin

Phone: +61 (2) 8885-3333

Email: sophie.martin@costco.com.au

2. Product Description

Product Name: As specified in individual Purchase Orders (PO).

Quantity: As specified in individual Purchase Orders (PO).

Quality Standards:

Products must comply with ISO 9001:2015 for quality management systems.

Buyer will conduct inspections within 5 business days of delivery.

3. Payment Terms

Payment Terms: Payments are due 45 days from the invoice date.

Late Payment Penalty: A 4.5% interest per month applies to overdue payments.

4. Delivery Terms

Delivery Timeline: Products must be delivered within 7 business days of PO confirmation.

Delivery Locations: As specified in individual Purchase Orders.

Late Delivery Penalty:

A 3.5% penalty per week of order value for late deliveries.

Maximum penalty: 18% of order value.

5. Contract Renewal and Termination

Renewal Clause:

The contract is eligible for automatic 5-year renewal unless terminated 120 days prior to expiry.

Termination Conditions:

Failure to meet delivery schedules 3 consecutive times.

Quality non-compliance in more than 2 batches.

Mutual termination with 120 days' written notice.

6. Risk Management and Compliance

Supplier must ensure:

Products meet all applicable safety and environmental regulations.

Safe transit standards to prevent damage.

Buyer reserves the right to:

Conduct quarterly audits of product quality and compliance.

7. Contractual Penalties and Quality Assurance

Quality Penalties: A 9.0% penalty applies for any defective batches.

Late Delivery Penalty: As per Section 4 above.

Quality Guarantees:

Products must achieve a 100% pass rate during inspections.

Consecutive quality failures will trigger a review and potential renegotiation.

8. Confidentiality

Both parties agree to maintain confidentiality of all sensitive business information disclosed during this contract. This obligation survives contract expiration.

9. Dispute Resolution

In the event of disputes, the matter will first be resolved through good-faith negotiations. Unresolved disputes will proceed to arbitration under the laws of New York, United States.

10. Governing Law

This agreement is governed by the laws of New York, United States.

11. Miscellaneous

This agreement represents the entire understanding between the parties and supersedes prior agreements. Amendments must be made in writing and signed by both parties.

12. Signatures

Supplier Representative:

Name: Robert Williams

Title: Procurement Manager

Signature: Robert Williams

Date: March 6, 2023

Buyer Representative:

Name: Sophie Martin

Title: Supply Chain Director

Signature: Sophie Martin

Date: March 6, 2023